

consumption during retirement and is liquidated for the most part only following the death of a spouse or a forced move to a nursing home. Even in these cases, liquidated housing wealth is not used to support nonhousing consumption. The other reason saving continues in retirement is that individuals are looking beyond their own life cycle, to grant inheritances to their children and other relatives.

4.6. SUMMARY

The most important problem is to save now so that something will be available for retirement. Save, save, and save! While annuities meet most of retirees' needs—they remove longevity risk and provide guaranteed smooth payments during retirement—most people do not hold them. Current annuity markets are highly inefficient and hard for consumers to navigate; the flipside is that there is still large scope for innovation in annuity markets by new players.

5. Employees' Retirement System of Rhode Island Redux

On November 17, 2011, the pension regulation championed by Raimondo passed in the Rhode Island House and Senate, and the next day the Rhode Island Retirement Security Act of 2011 was signed into law by the governor. As a result, ERSRI's unfunded pension liability fell from \$7.3 billion to \$4.3 billion and the taxpayer contribution for 2012–2013 was cut to \$300 million, from over \$600 million. ERSRI's funding ratio was projected to rise steadily over the next few years. A senior director at Fitch Ratings said, "Fitch believes that Rhode Island's pension reform is the most comprehensive measure undertaken by any of the states in recent years."⁶⁸

There were some reductions in benefits for state workers. The plan increased the retirement age to sixty-seven for employees with less than five years of service and to fifty-nine for employees with more than five years of service. The reform created a defined contribution plan that operated alongside the defined benefit plan, and contributions would be split between the defined benefit and defined contribution plans. The calculation of the COLA was subject to a 4% cap and a 0% floor and only applied to a retiree's first \$25,000 of retirement income. The COLA would not be paid until the pension system had reached an 80% funding ratio and was calculated as the five-year average investment return less 5.5%. But as Raimondo promised, all benefits accrued prior to June 30, 2012 remained unchanged.

⁶⁸ Quote from Burton, P., "Reform in Rhode Island Could Start Trend," *The Bond Buyer*, Nov. 21, 2011.